**SET 1 · Money, Banking, and Financial Institutions**

# Banks, credit unions, and what they do

MAIN skill: Explain what banks and credit unions do with deposits and loans

Outcome FL.BANK.01 · National topic: Saving · NJSLS 9.1.12: FI

Learning target: Financial institutions: role of banks and credit unions; insured deposit accounts

**If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:**

B1 · Concept review: Deposits, withdrawals, and loans (5 questions)

Why: The MAIN questions describe what institutions do with deposits and loans; students who mix up these three words cannot follow them.

**After 5 of 5 correct, Go Deeper unlocks (a chain):**

Go Deeper 1: Online banks, apps, and partner banks (5 questions)

Go Deeper 2: Comparing financial institutions (5 questions)

Practical skills beyond the standards: Fintech apps and partner banks

Content status: time-sensitive

Source: FDIC — Deposit insurance covers up to $250,000 per depositor, per insured bank, for each account ownership category. https://www.fdic.gov/resources/deposit-insurance

Source: NCUA — Credit union share insurance covers up to $250,000 per member, per insured credit union, for each ownership category. https://ncua.gov/consumers/share-insurance-coverage

Answer key for this set: M-Q1 A, M-Q2 D, M-Q3 C, M-Q4 A, M-Q5 B, B1-Q1 D, B1-Q2 A, B1-Q3 C, B1-Q4 B, B1-Q5 C, F1-Q1 D, F1-Q2 A, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 D, F2-Q2 A, F2-Q3 C, F2-Q4 C, F2-Q5 A

**MAIN — Explain what banks and credit unions do with deposits and loans · Question 1 of 5**

Learn: A bank is a business that accepts deposits (money people put in accounts) and makes loans (money it lends and expects to be paid back with interest). Banks keep only part of their deposits as cash and lend much of the rest. The interest borrowers pay helps the bank pay its costs, earn a profit, and pay interest to savers.

Maya deposits $500 of her summer earnings at a bank. What does the bank usually do with much of the money while it sits in her account?

**A. Lends part of it to other customers, such as car buyers or businesses**
B. Keeps her exact bills in a locked box with her name on it
C. Sends it to the government until she withdraws it
D. Invests it in the stock market for Maya, who receives the gains

**CORRECT ANSWER**

A. Lends part of it to other customers, such as car buyers or businesses

**Feedback (shown after answering)**

Banks pool deposits and lend much of the money to borrowers. Maya can still withdraw her $500; the bank keeps enough cash and reserves on hand to meet withdrawals.

**Why each other choice is wrong (misconception it represents)**

B: Thinks a bank stores each customer's own cash separately
C: Confuses a bank deposit with a tax payment
D: Confuses a bank deposit with an investment account

Type: instruction

**MAIN — Explain what banks and credit unions do with deposits and loans · Question 2 of 5**

Learn: A credit union offers many of the same services as a bank: checking and savings accounts, debit cards, and loans. The difference is ownership. A credit union is a not-for-profit cooperative owned by its members, who are its account holders. To join, you must meet its membership rules, such as living in an area, working for an employer, or belonging to a group.

Which statement best describes a credit union?

A. A government office that issues credit cards
B. A company that only sells stocks and bonds
C. A bank owned by outside shareholders who are not customers
**D. A not-for-profit financial cooperative owned by its members**

**CORRECT ANSWER**

D. A not-for-profit financial cooperative owned by its members

**Feedback (shown after answering)**

Credit unions are member-owned, not-for-profit cooperatives. Profits are returned to members through lower fees, lower loan rates, or higher savings rates.

**Why each other choice is wrong (misconception it represents)**

A: Thinks "credit" in the name means the government provides credit
B: Confuses a credit union with a brokerage firm
C: Describes a stock-owned bank, not a credit union

Type: instruction

**MAIN — Explain what banks and credit unions do with deposits and loans · Question 3 of 5**

Learn: Every credit union has a "field of membership": the group of people it is allowed to serve. It might be employees of certain companies, people who live or work in a county, or members of an organization. Family members of current members can often join too. Some credit unions let almost anyone join by first joining a partner organization.

Jordan wants to join Riverside Teachers Credit Union, but Jordan is not a teacher and has no family member who works in a school. What is the most likely obstacle?

A. Credit unions do not offer checking accounts
B. Jordan must buy stock in the credit union on a stock exchange
**C. Jordan may not meet the credit union's membership rules**
D. Credit unions only accept customers who already have a credit card

**CORRECT ANSWER**

C. Jordan may not meet the credit union's membership rules

**Feedback (shown after answering)**

A credit union can serve only people within its field of membership. Jordan should check its eligibility rules or look for a credit union whose field includes Jordan.

**Why each other choice is wrong (misconception it represents)**

A: Thinks credit unions offer only loans
B: Confuses member ownership with buying publicly traded shares
D: Thinks a credit card is required to open an account

Type: instruction · practical how-to

**MAIN — Explain what banks and credit unions do with deposits and loans · Question 4 of 5**

Learn: Banks come in different types. National and regional banks are large and have many branches. Community banks are smaller and local. Online banks have no branches; customers use an app, a website, ATMs, and mobile deposit. Deposits at federally insured banks are protected by the FDIC, and deposits at federally insured credit unions by the NCUA, up to legal limits.

A city has a large national bank, a local community bank, a credit union, and an online-only bank. Which feature is TRUE of all four kinds of institutions?

**A. They can offer deposit accounts that are federally insured up to legal limits**
B. They are all owned by their customers
C. They all have branches where you can deposit cash in person
D. They all guarantee a profit on money you invest with them

**CORRECT ANSWER**

A. They can offer deposit accounts that are federally insured up to legal limits

**Feedback (shown after answering)**

Federally insured banks (FDIC) and credit unions (NCUA) can all offer insured deposit accounts. Ownership, branches, and fees differ from one institution to another.

**Why each other choice is wrong (misconception it represents)**

B: Credit union ownership applied to every institution
C: Assumes online-only banks have branches
D: Confuses insured deposits with guaranteed investment returns

Type: instruction

**MAIN — Explain what banks and credit unions do with deposits and loans · Question 5 of 5**

Priya keeps $1,200 in cash in a shoebox. Which risk would a federally insured bank account reduce?

A. The money buying less in the future because prices rise
**B. Losing the money to a fire or theft at home**
C. Having to pay sales tax when she spends the money
D. Spending the money on things she does not need

**CORRECT ANSWER**

B. Losing the money to a fire or theft at home

**Feedback (shown after answering)**

Insured deposits are protected from loss at home and from bank failure up to legal limits. An account does not stop prices from rising and does not decide how she spends.

**Why each other choice is wrong (misconception it represents)**

A: Thinks a bank account removes the effect of inflation
C: Confuses where money is kept with taxes on purchases
D: Thinks an account controls spending habits by itself

Type: knowledge check

**BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 1 of 5**

Learn: A deposit is money you put into an account. A withdrawal is money you take out. A loan is money a lender gives you that you must pay back, usually with interest.

Aiden puts $40 into his savings account. What is this called?

A. A withdrawal
B. A loan
C. A fee
**D. A deposit**

**CORRECT ANSWER**

D. A deposit

**Feedback (shown after answering)**

Putting money into an account is a deposit. Taking money out is a withdrawal.

**Why each other choice is wrong (misconception it represents)**

A: Reverses deposit and withdrawal
B: Thinks putting money in is borrowing
C: Confuses adding money with a charge

Type: instruction

**BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 2 of 5**

Learn: When you take money out of your own account, by cash at an ATM, a debit card purchase, or a check, it is a withdrawal. The money was already yours.

Sofia takes $60 in cash out of her checking account at an ATM. What is this called?

**A. A withdrawal**
B. A deposit
C. A loan from the ATM company
D. Interest

**CORRECT ANSWER**

A. A withdrawal

**Feedback (shown after answering)**

Taking your own money out of your account is a withdrawal; you do not owe it back.

**Why each other choice is wrong (misconception it represents)**

B: Reverses deposit and withdrawal
C: Thinks ATM cash is borrowed
D: Confuses money taken out with money earned

Type: instruction

**BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 3 of 5**

Learn: A loan is borrowed money. The borrower promises to repay the amount borrowed, called the principal, plus interest, which is the price of borrowing.

A bank gives Luis $8,000 to buy a used car, and Luis agrees to pay it back over four years with interest. What did Luis receive?

A. A deposit
B. A gift from the bank
**C. A loan**
D. A withdrawal from his savings

**CORRECT ANSWER**

C. A loan

**Feedback (shown after answering)**

Money that must be repaid with interest is a loan. Luis owes the $8,000 principal plus interest.

**Why each other choice is wrong (misconception it represents)**

A: Thinks money received from a bank is a deposit
B: Ignores the duty to repay
D: Confuses borrowed money with his own savings

Type: instruction

**BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 4 of 5**

Learn: Interest works in two directions. A borrower pays interest to a lender for using the lender's money. A saver earns interest from a bank, because the bank uses the saver's deposits to make loans.

Which choice describes interest from a SAVER'S point of view?

A. Money you pay the bank to keep your account open
**B. Money the bank pays you for keeping your money in an account**
C. The amount you first deposited
D. A tax on savings accounts

**CORRECT ANSWER**

B. Money the bank pays you for keeping your money in an account

**Feedback (shown after answering)**

Savers earn interest; borrowers pay interest. The first amount deposited is the principal.

**Why each other choice is wrong (misconception it represents)**

A: Confuses interest with a monthly fee
C: Confuses interest with principal
D: Confuses interest with a tax

Type: instruction

**BACKWARD B1 · concept review — Deposits, withdrawals, and loans · Question 5 of 5**

Why can a bank afford to pay interest to savers?

A. The government pays the interest for every account
B. It charges savers a fee equal to the interest
**C. It charges borrowers a higher interest rate than it pays savers**
D. It prints new money to pay interest

**CORRECT ANSWER**

C. It charges borrowers a higher interest rate than it pays savers

**Feedback (shown after answering)**

A bank earns more interest from loans than it pays on deposits. The difference helps cover costs and profit.

**Why each other choice is wrong (misconception it represents)**

A: Thinks deposit insurance pays interest
B: Thinks interest is cancelled by a fee
D: Confuses a bank with the central bank

Type: knowledge check

**GO DEEPER 1 — Online banks, apps, and partner banks · Question 1 of 5**

Learn: Many apps that hold money are not banks. They are financial technology ("fintech") companies that partner with a bank. Money may be FDIC insured only if it is actually deposited at the partner bank in the customer's name and the records are kept properly. If the fintech company itself fails, getting access to money can take time.

A payment app advertises "bank-level" accounts. Its fine print says, "We are a financial technology company, not a bank. Banking services are provided by Harbor Bank, Member FDIC." What does this mean?

A. The app company is an FDIC-insured bank
B. No money in the app can ever be insured
C. Harbor Bank guarantees the app company's profits
**D. Harbor Bank holds the deposits; the app company itself is not a bank**

**CORRECT ANSWER**

D. Harbor Bank holds the deposits; the app company itself is not a bank

**Feedback (shown after answering)**

The fine print says the deposits are at Harbor Bank. FDIC insurance protects against Harbor Bank failing, not against the app company failing.

**Why each other choice is wrong (misconception it represents)**

A: Takes the advertising at face value
B: Ignores insurance through a partner bank
C: Misreads what a partner bank does

Type: instruction

**GO DEEPER 1 — Online banks, apps, and partner banks · Question 2 of 5**

Learn: Deposit insurance covers money in deposit accounts at insured banks. A balance kept in a payment app may not be a bank deposit at all, depending on how the app holds it. The app's terms explain where the money is held.

Which question is MOST useful to ask before keeping a large balance in a payment app?

**A. Is my balance held at an FDIC-insured bank in my name?**
B. How many users does the app have?
C. Does the app have a nice design?
D. Can I send money to friends instantly?

**CORRECT ANSWER**

A. Is my balance held at an FDIC-insured bank in my name?

**Feedback (shown after answering)**

Whether the balance is a deposit at an insured bank, in your name, decides whether deposit insurance can apply.

**Why each other choice is wrong (misconception it represents)**

B: Treats popularity as protection
C: Treats design as safety
D: Focuses on features rather than protection

Type: instruction · practical how-to

**GO DEEPER 1 — Online banks, apps, and partner banks · Question 3 of 5**

Learn: Online banks often pay higher savings rates and charge fewer fees because they have no branches to run. The trade-off is access: depositing cash can be hard or impossible, and help is by phone or chat. The best choice depends on how you use your money.

An online bank pays 4.0% on savings and charges no monthly fee, but it has no branches. A local bank pays 0.5% and has a branch near Ana's job. Ana is paid in cash tips each night. Which drawback of the online bank matters MOST for Ana?

A. The online bank's savings rate is too high
B. Online banks cannot offer debit cards
**C. Depositing cash may be difficult without a branch**
D. Online banks are never insured

**CORRECT ANSWER**

C. Depositing cash may be difficult without a branch

**Feedback (shown after answering)**

Ana deposits cash every night, so a way to deposit cash matters more to her than a higher rate. She might use both kinds of bank.

**Why each other choice is wrong (misconception it represents)**

A: Thinks a higher savings rate is a drawback
B: Assumes online banks lack debit cards
D: Assumes no online bank is insured

Type: instruction

**GO DEEPER 1 — Online banks, apps, and partner banks · Question 4 of 5**

A bank's website shows the FDIC logo. What does this tell a customer?

A. The bank's stock price is guaranteed
**B. The bank's deposit accounts are insured by the FDIC up to the legal limit**
C. Every product the bank sells is insured, including investments
D. The bank charges no fees

**CORRECT ANSWER**

B. The bank's deposit accounts are insured by the FDIC up to the legal limit

**Feedback (shown after answering)**

The FDIC sign means deposits are insured up to $250,000 per depositor, per insured bank, per ownership category. Investments sold at a bank are not deposits and are not FDIC insured.

**Why each other choice is wrong (misconception it represents)**

A: Thinks FDIC insures a bank's stock
C: Extends deposit insurance to investments
D: Confuses insurance with fees

Type: knowledge check

**GO DEEPER 1 — Online banks, apps, and partner banks · Question 5 of 5**

Which situation shows the main risk of keeping money with a non-bank app?

A. The partner bank pays interest every month
B. The app sends a monthly statement
C. The customer uses the app's debit card at a store
**D. The app company fails and customers wait months to reach their money**

**CORRECT ANSWER**

D. The app company fails and customers wait months to reach their money

**Feedback (shown after answering)**

When a fintech company fails, its records of who owns what must be sorted out before customers can get their money, even if a partner bank is insured.

**Why each other choice is wrong (misconception it represents)**

A: Describes an advantage, not a risk
B: Describes a normal feature
C: Describes normal use

Type: knowledge check

**GO DEEPER 2 — Comparing financial institutions · Question 1 of 5**

Learn: Fees add up. A monthly fee costs 12 times that amount in a year. Many banks waive a monthly fee if you meet a condition, such as a minimum balance or a direct deposit. If you will not meet the condition, plan to pay the fee.

Two banks are similar except: Bank A charges a $12 monthly fee unless the balance stays above $1,500; Bank B charges no monthly fee. Kai usually keeps about $400 in checking. How much more would Bank A cost Kai per year?

A. $0
B. $12
C. $48
**D. $144**

**CORRECT ANSWER**

D. $144

**Feedback (shown after answering)**

Kai's $400 balance is below $1,500, so the fee applies every month: $12 × 12 = $144.

Recomputed independently by the build: 144

**Why each other choice is wrong (misconception it represents)**

A: Assumes Kai meets the $1,500 minimum
B: Uses one month instead of a year
C: Multiplies by 4 instead of 12

Type: instruction

**GO DEEPER 2 — Comparing financial institutions · Question 2 of 5**

Learn: When comparing institutions, start with how you will use the account: fees, ATM access, branch or app access, minimum balances, and the savings rate. A feature that matters to one person may not matter to another.

Which comparison is MOST important for a student who will make frequent ATM withdrawals?

**A. How many fee-free ATMs are near home and school**
B. Whether the bank sponsors a sports team
C. The color of the debit card
D. The bank's auto loan rate

**CORRECT ANSWER**

A. How many fee-free ATMs are near home and school

**Feedback (shown after answering)**

Frequent ATM users can pay fees each time they use an out-of-network ATM, so fee-free ATM access is the key comparison.

**Why each other choice is wrong (misconception it represents)**

B: Uses advertising as a reason
C: Uses appearance as a reason
D: Compares a product the student will not use now

Type: instruction · practical how-to

**GO DEEPER 2 — Comparing financial institutions · Question 3 of 5**

Learn: To compare savings rates, find the interest each account pays. For one year, interest ≈ balance × rate (with the rate written as a decimal). Then subtract.

A credit union and a bank both offer free checking. The credit union pays 2.5% on savings; the bank pays 0.1%. On a $2,000 savings balance for one year (simple interest), how much more would the credit union pay?

A. $2
B. $4.80
**C. $48**
D. $50

**CORRECT ANSWER**

C. $48

**Feedback (shown after answering)**

Credit union: $2,000 × 0.025 = $50. Bank: $2,000 × 0.001 = $2. Difference: $48.

Recomputed independently by the build: 48

**Why each other choice is wrong (misconception it represents)**

A: Uses only the bank's interest
B: Misplaces the decimal point
D: Uses only the credit union's interest

Type: instruction

**GO DEEPER 2 — Comparing financial institutions · Question 4 of 5**

Which document lists every fee an account can charge, such as overdraft, wire, and paper statement fees?

A. The bank's home page advertisement
B. A monthly statement from last year
**C. The account's fee schedule**
D. The debit card itself

**CORRECT ANSWER**

C. The account's fee schedule

**Feedback (shown after answering)**

Banks give a fee schedule (often part of the account agreement). Ads show the highlights; the fee schedule shows every charge.

**Why each other choice is wrong (misconception it represents)**

A: Thinks ads list every fee
B: Thinks a statement lists every possible fee
D: Thinks fees are printed on the card

Type: knowledge check · practical how-to

**GO DEEPER 2 — Comparing financial institutions · Question 5 of 5**

Leo picks a bank only because it gave him a $200 bonus for opening an account. Six months later he notices $15 monthly fees. What step did he skip?

**A. Reading the fee conditions before choosing**
B. Asking for a larger bonus
C. Opening the account online
D. Getting a credit card first

**CORRECT ANSWER**

A. Reading the fee conditions before choosing

**Feedback (shown after answering)**

Six months of $15 fees is $90, and the fees continue every month. Bonuses often require conditions; the fee rules decide the long-run cost.

**Why each other choice is wrong (misconception it represents)**

B: Treats the bonus as the main decision
C: Thinks the method of opening caused the fees
D: Thinks a credit card prevents account fees

Type: knowledge check

**SET 2 · Money, Banking, and Financial Institutions**

# Checking accounts and debit cards

MAIN skill: Use a checking account and debit card and track the available balance

Outcome FL.BANK.02 · National topic: Spending · NJSLS 9.1.12: FI, PB

Learning target: Payment methods: compare debit cards, credit cards, and other payment methods

**If the MAIN attempt has 3 or fewer correct, the student works these backward sections in order, then returns to a fresh MAIN set:**

- B1 · Concept review: Debit versus credit (5 questions)
  Why: The MAIN skill assumes students know that a debit card spends their own money and a credit card borrows; this is the most common confusion.
- B2 · Math link → G6-S17-M (Grade 6 6.NS.B.3): Subtract multi-digit decimals
  Why: Every balance question subtracts amounts in dollars and cents.
- B3 · Math link → G6-S16-M (Grade 6 6.NS.B.3): Add multi-digit decimals
  Why: Deposits are added to the balance in dollars and cents.

**After 5 of 5 correct, Go Deeper unlocks (a chain):**

- Go Deeper 1: ATM networks and fees (5 questions)
- Go Deeper 2: Pending transactions, available balance, and posting (5 questions)

Practical skills beyond the standards: Holds, pending transactions, available balance

Content status: time-sensitive

Source: CFPB (Regulation E) — Liability limits for unauthorized electronic transfers: $50 if reported within 2 business days of learning of a lost card, up to $500 after that, and possibly more after 60 days from the statement. https://www.consumerfinance.gov/rules-policy/regulations/1005/6/

Answer key for this set: M-Q1 D, M-Q2 B, M-Q3 A, M-Q4 D, M-Q5 B, B1-Q1 A, B1-Q2 C, B1-Q3 B, B1-Q4 A, B1-Q5 D, F1-Q1 D, F1-Q2 C, F1-Q3 C, F1-Q4 B, F1-Q5 D, F2-Q1 B, F2-Q2 C, F2-Q3 B, F2-Q4 A, F2-Q5 B

**MAIN — Use a checking account and debit card and track the available balance · Question 1 of 5**

Learn: A checking account is a bank or credit union account for everyday money: receiving pay, paying bills, buying things with a debit card, and writing checks. Checking accounts usually pay little or no interest. Money you are setting aside for later usually goes in a savings account.

Tia's paycheck is deposited into her checking account. Which use is a checking account designed for?

A. Earning high interest on long-term savings
B. Buying shares of stock
C. Borrowing money for a car
**D. Paying rent, bills, and everyday purchases**

**CORRECT ANSWER**

D. Paying rent, bills, and everyday purchases

**Feedback (shown after answering)**

Checking accounts are transaction accounts for everyday spending and bills. Long-term savings and investments belong in other accounts.

**Why each other choice is wrong (misconception it represents)**

A: Confuses checking with high-yield savings
B: Confuses checking with a brokerage account
C: Confuses an account with a loan

Type: instruction

**MAIN — Use a checking account and debit card and track the available balance · Question 2 of 5**

Learn: A debit card is linked to your checking account. When you pay with it, the money comes out of your account, usually within a day or two. A credit card is different: the card company lends you the money, and you pay it back later.

Noah buys groceries for $46.30 with his debit card. Where does the money come from?

A. From a loan that Noah repays next month
**B. Directly from Noah's checking account**
C. From the store's bank account
D. From Noah's savings account automatically, every time

**CORRECT ANSWER**

B. Directly from Noah's checking account

**Feedback (shown after answering)**

A debit card spends money already in the linked checking account. It is not a loan.

**Why each other choice is wrong (misconception it represents)**

A: Confuses a debit card with a credit card
C: Reverses who pays
D: Thinks debit cards draw from savings

Type: instruction

**MAIN — Use a checking account and debit card and track the available balance · Question 3 of 5**

Learn: Your balance is the money in your account. Each withdrawal, debit card purchase, or bill payment is subtracted; each deposit is added. Keeping a running balance helps you avoid spending money you do not have.

Ella's checking balance is $312.40. She pays a $95.25 phone bill and makes a $40.00 ATM withdrawal. What is her new balance?

**A. $177.15**
B. $217.15
C. $272.40
D. $447.65

**CORRECT ANSWER**

A. $177.15

**Feedback (shown after answering)**

$312.40 − $95.25 − $40.00 = $177.15.

Recomputed independently by the build: 177.15

**Why each other choice is wrong (misconception it represents)**

B: Subtracts only the phone bill
C: Subtracts only the ATM withdrawal
D: Adds the payments instead of subtracting

Type: instruction

**MAIN — Use a checking account and debit card and track the available balance · Question 4 of 5**

Learn: Some merchants, such as gas stations, hotels, and car rentals, place a temporary "hold" on a debit card before they know the final amount. The hold lowers your AVAILABLE balance (what you can spend now) until the final charge posts and the extra is released, often within a few days.

At a gas pump, Sam's debit card is approved, and the bank places a $100 hold, even though Sam pumps only $38 of gas. What is the effect until the hold is released?

A. Sam is charged $100 permanently
B. Sam's account balance goes up by $62
C. Nothing changes, because holds only apply to credit cards
**D. Sam's available balance is $100 lower for a short time**

**CORRECT ANSWER**

D. Sam's available balance is $100 lower for a short time

**Feedback (shown after answering)**

The hold temporarily reduces the available balance by $100. When the $38 charge posts, the extra $62 is released.

**Why each other choice is wrong (misconception it represents)**

A: Thinks a hold is the final charge
B: Thinks the difference is added
C: Thinks holds only apply to credit cards

Type: instruction

**MAIN — Use a checking account and debit card and track the available balance · Question 5 of 5**

A thief steals Ava's wallet and uses both her debit card and her credit card. Which card generally gives her stronger legal protection against the thief's charges?

A. The debit card, because it spends her own money
**B. The credit card**
C. The debit card, because banks must refund theft the same day
D. Both cards always have identical protection

**CORRECT ANSWER**

B. The credit card

**Feedback (shown after answering)**

Federal law caps credit card liability for unauthorized charges at $50. Debit card liability depends on how quickly you report the loss: up to $50, up to $500, or more after 60 days. Meanwhile, a thief has spent your own money.

**Why each other choice is wrong (misconception it represents)**

A: Assumes spending your own money gives more protection
C: Thinks refunds are always instant
D: Ignores the different federal rules

Type: knowledge check

**BACKWARD B1 · concept review — Debit versus credit · Question 1 of 5**

Learn: "Debit" means taking money out of your account. A debit card takes money from your checking account. "Credit" means borrowing: a credit card company pays the store, and you owe the card company.

Which card spends money that is ALREADY in your bank account?

**A. A debit card**
B. A credit card
C. A store gift card from a friend
D. A library card

**CORRECT ANSWER**

A. A debit card

**Feedback (shown after answering)**

A debit card draws on money already in your checking account.

**Why each other choice is wrong (misconception it represents)**

B: Thinks a credit card spends your own money
C: Confuses a prepaid gift card with a bank account card
D: Unrelated card

Type: instruction

**BACKWARD B1 · concept review — Debit versus credit · Question 2 of 5**

Learn: With a credit card, the card company pays the merchant for you. The amount is added to your card balance, which is a debt you must pay back. If you do not pay the full balance by the due date, you may owe interest.

Owen pays for a $25 meal with a credit card. Who pays the restaurant first?

A. Owen's checking account, immediately
B. The restaurant pays itself
**C. The credit card company, and Owen owes it $25**
D. Nobody pays until Owen gets a bill

**CORRECT ANSWER**

C. The credit card company, and Owen owes it $25

**Feedback (shown after answering)**

The card company pays the restaurant; Owen now owes the card company $25.

**Why each other choice is wrong (misconception it represents)**

A: Confuses credit with debit
B: Misunderstands who pays
D: Thinks the store waits to be paid

Type: instruction

**BACKWARD B1 · concept review — Debit versus credit · Question 3 of 5**

Learn: A debit card can only spend the money in your account. If a purchase is larger than your balance, the bank may decline it. If you opted in to overdraft coverage, the bank may pay it and charge an overdraft fee.

What happens if you try to spend more with a debit card than your account holds?

A. The extra amount becomes a free gift
**B. The purchase is declined, or the bank may cover it and charge an overdraft fee**
C. The store lowers the price to your balance
D. Your credit card is charged automatically, every time

**CORRECT ANSWER**

B. The purchase is declined, or the bank may cover it and charge an overdraft fee

**Feedback (shown after answering)**

Spending past your balance leads to a declined purchase or an overdraft with a fee.

**Why each other choice is wrong (misconception it represents)**

A: Thinks the bank absorbs the shortfall for free
C: Thinks the store adjusts the price
D: Thinks a credit card always backs a debit card

Type: instruction

**BACKWARD B1 · concept review — Debit versus credit · Question 4 of 5**

Which statement is TRUE?

**A. Using a credit card creates a debt; using a debit card does not**
B. Using a debit card creates a debt; using a credit card does not
C. Both cards always create a debt
D. Neither card is ever connected to money you owe

**CORRECT ANSWER**

A. Using a credit card creates a debt; using a debit card does not

**Feedback (shown after answering)**

Credit cards are borrowing. Debit cards spend your own money.

**Why each other choice is wrong (misconception it represents)**

B: Reverses debit and credit
C: Thinks every card is borrowing
D: Ignores credit card debt

Type: knowledge check

**BACKWARD B1 · concept review — Debit versus credit · Question 5 of 5**

Learn: If you do not opt in to overdraft coverage, a bank generally cannot charge you an overdraft fee for an ATM withdrawal or a one-time debit card purchase; instead the purchase is declined. A credit card lets you borrow up to a credit limit, which is not your money.

Mia wants a card that will stop her from spending more than she has. Which card fits that goal better?

A. A credit card with a high limit
B. A credit card used only for big purchases
C. Any card, because cards cannot be overspent
**D. A debit card with overdraft coverage turned off**

**CORRECT ANSWER**

D. A debit card with overdraft coverage turned off

**Feedback (shown after answering)**

Without overdraft coverage, one-time debit card purchases above the balance are generally declined, so Mia cannot spend money she does not have.

**Why each other choice is wrong (misconception it represents)**

A: Thinks a credit limit is her own money
B: Thinks purchase size changes how credit works
C: Thinks cards prevent overspending

Type: instruction

### GO DEEPER 1 — ATM networks and fees · Question 1 of 5

Learn: An ATM network is a group of machines your bank lets you use without a fee. At an "out-of-network" ATM you can be charged twice: once by your own bank and once by the ATM's owner (a "surcharge").

Rosa uses an out-of-network ATM. Her bank charges $2.50 and the ATM owner charges $3.00. She withdraws $40. How much leaves her account in total?

A. $40.00
B. $42.50
C. $43.00
**D. $45.50**

**CORRECT ANSWER**

D. $45.50

**Feedback (shown after answering)**

$40 + $2.50 + $3.00 = $45.50.

Recomputed independently by the build: 45.5

**Why each other choice is wrong (misconception it represents)**

A: Ignores the fees
B: Includes only her bank's fee
C: Includes only the ATM owner's fee

Type: instruction

**GO DEEPER 1 — ATM networks and fees · Question 2 of 5**

Learn: Small fees repeated often add up. Multiply the fee per use by the number of uses in a year.

Rosa makes that same kind of out-of-network withdrawal twice a week. About how much does she pay in ATM fees in a year (52 weeks)?

A. $5.50
B. $286
**C. $572**
D. $4,732

**CORRECT ANSWER**

C. $572

**Feedback (shown after answering)**

Fees per withdrawal: $2.50 + $3.00 = $5.50. Withdrawals per year: 2 × 52 = 104. Fees: $5.50 × 104 = $572.

Recomputed independently by the build: 572

**Why each other choice is wrong (misconception it represents)**

A: Gives the fees for one withdrawal
B: Counts one withdrawal per week
D: Includes the $40 cash withdrawn each time

Type: instruction

**GO DEEPER 1 — ATM networks and fees · Question 3 of 5**

Which choice would cut Rosa's ATM fees the MOST?

A. Withdraw $20 each time instead of $40
B. Use a different out-of-network ATM each time
**C. Withdraw cash at in-network ATMs or get cash back with a debit purchase**
D. Check her balance at the ATM before each withdrawal

**CORRECT ANSWER**

C. Withdraw cash at in-network ATMs or get cash back with a debit purchase

**Feedback (shown after answering)**

In-network ATMs and cash back at stores usually have no fees. Smaller, more frequent withdrawals raise the total fees.

**Why each other choice is wrong (misconception it represents)**

A: Smaller withdrawals mean more fees, not fewer
B: Thinks a different machine avoids fees
D: Balance checks can add fees

Type: knowledge check · practical how-to

**GO DEEPER 1 — ATM networks and fees · Question 4 of 5**

Learn: Some accounts refund ATM fees up to a monthly limit. The refund lowers what you pay, but only up to that limit.

A bank refunds up to $10 of other banks' ATM fees each month. Rosa pays $22 in out-of-network fees this month. How much does she pay after the refund?

A. $10
**B. $12**
C. $22
D. $32

**CORRECT ANSWER**

B. $12

**Feedback (shown after answering)**

$22 − $10 = $12.

Recomputed independently by the build: 12

**Why each other choice is wrong (misconception it represents)**

A: Gives the refund instead of what she pays
C: Ignores the refund
D: Adds the refund

Type: instruction

**GO DEEPER 1 — ATM networks and fees · Question 5 of 5**

Which statement about an ATM "balance inquiry" at an out-of-network machine is MOST accurate?

A. It is always free everywhere
B. It moves money to savings
C. It counts as a deposit
**D. It can carry a fee even though no money is withdrawn**

**CORRECT ANSWER**

D. It can carry a fee even though no money is withdrawn

**Feedback (shown after answering)**

Out-of-network ATMs may charge for balance checks. Checking the balance in your bank's app is usually free.

**Why each other choice is wrong (misconception it represents)**

A: Assumes balance checks are free at any ATM
B: Confuses an inquiry with a transfer
C: Confuses an inquiry with a deposit

Type: knowledge check

**GO DEEPER 2 — Pending transactions, available balance, and posting · Question 1 of 5**

Learn: A transaction is "pending" when the bank knows about it but has not finished processing it ("posting" it). Your available balance is the money you can spend now: roughly your posted balance minus pending charges and holds. Spending based on the larger number can cause overdrafts.

Kim's app shows: current balance $250; pending transactions −$80. What is her available balance?

A. $80
**B. $170**
C. $250
D. $330

**CORRECT ANSWER**

B. $170

**Feedback (shown after answering)**

$250 − $80 = $170 available.

Recomputed independently by the build: 170

**Why each other choice is wrong (misconception it represents)**

A: Gives the pending amount
C: Ignores pending transactions
D: Adds the pending amount

Type: instruction

**GO DEEPER 2 — Pending transactions, available balance, and posting · Question 2 of 5**

Learn: Bank apps show what the bank knows. A check you wrote that the payee has not cashed yet does not appear at all. Your own record of payments, called a register, catches those.

Which balance should Kim use to decide whether she can afford a $150 purchase today?

A. The highest balance she had this month
B. Her balance from last month's statement
**C. Her available balance, adjusted for checks she has written that have not cleared**
D. Her current balance, ignoring pending items

**CORRECT ANSWER**

C. Her available balance, adjusted for checks she has written that have not cleared

**Feedback (shown after answering)**

Her real spending power is the available balance minus payments the bank has not seen yet.

**Why each other choice is wrong (misconception it represents)**

A: Uses a past balance
B: Uses an old statement
D: Ignores money already committed

Type: instruction

**GO DEEPER 2 — Pending transactions, available balance, and posting · Question 3 of 5**

Learn: When you deposit a check, the bank may "hold" part of the money until the check clears. Federal rules set the maximum hold times, and the bank must tell you when the money will be available.

Ben deposits a $600 check on Monday. The bank says $225 is available Tuesday and the rest Thursday. How much can Ben safely spend from this deposit on Tuesday?

A. $0
**B. $225**
C. $375
D. $600

**CORRECT ANSWER**

B. $225

**Feedback (shown after answering)**

Only $225 is available Tuesday; the remaining $375 becomes available Thursday.

Recomputed independently by the build: 225

**Why each other choice is wrong (misconception it represents)**

A: Thinks none of a check is available early
C: Gives the amount held until Thursday
D: Assumes the whole deposit is available at once

Type: instruction

**GO DEEPER 2 — Pending transactions, available balance, and posting · Question 4 of 5**

If a deposited check "bounces" (is returned unpaid) after you spent the money, what usually happens?

**A. The bank takes the amount back from your account, possibly with a fee**
B. The bank keeps paying because the money was available
C. The person who wrote the check pays your fee
D. Nothing, because the deposit was already posted

**CORRECT ANSWER**

A. The bank takes the amount back from your account, possibly with a fee

**Feedback (shown after answering)**

A returned check is reversed out of your account. If you already spent the money, your balance can go negative, and fees may apply. This is how fake-check scams harm victims.

**Why each other choice is wrong (misconception it represents)**

B: Thinks available funds are final
C: Assumes fees are always passed on
D: Thinks a posted deposit cannot be reversed

Type: knowledge check

**GO DEEPER 2 — Pending transactions, available balance, and posting · Question 5 of 5**

Which habit best prevents spending based on the wrong balance?

A. Checking the balance once a month
**B. Recording each purchase and check in a register or app as you make it**
C. Using only the current balance on the bank app
D. Keeping your PIN on the card

**CORRECT ANSWER**

B. Recording each purchase and check in a register or app as you make it

**Feedback (shown after answering)**

Recording each transaction as it happens keeps your own balance current, including items the bank has not seen yet.

**Why each other choice is wrong (misconception it represents)**

A: Checks too rarely
C: Ignores pending items and uncleared checks
D: Unrelated and unsafe

Type: knowledge check · practical how-to